

Masur Dal

Price in January 2008:
Rs 38.20

Price in January 2009:
Rs 60.30

Increase: **57.85%**



Sugar

Price in January 2008:
Rs 16.91

Price in January 2009:
Rs 22.24

Increase: **31.51%**

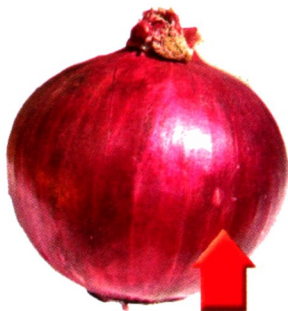


Onions

Price in January 2008:
Rs 10

Price in January 2009:
Rs 20.29

Increase: **102.9%**



Arhar Dal

Price in January 2008:
Rs 43.37

Price in January 2009:
Rs 53.20

Increase: **22.66%**

Source: Labour Statistics Bureau, Govt

PRICES Vs

The global meltdown may have driven down the Wholesale Price Index towards zero but food prices and the more relevant Consumer Price Index are still painfully high

By Malini Bhupta

Inflation is dead, long live high prices. If statistics are to be believed, the *aam aadmi* is paying much less for all commodities compared to last year. And for achieving this feat, the UPA Government has to thank the global meltdown, which not only dragged parts of the world into recession but also brought down the price of most commodities, especially crude oil. As a result of a dramatic fall in the fuel prices, the Government has "managed" to rein in headline inflation or the Wholesale Price Index (WPI) from double digits to negative zone. But the self-proclaimed proponents of the common man have conveniently forgotten that food prices are still at sky-high levels.

Be it onions, sugar or basic pulses like arhar and moong, prices of all essential items have gone up between 19 and 102 per cent (*see table*). For example, the annual rate of inflation, calculated on point-to-point basis, stood at 0.18 per cent for the week ended April 4, compared to 0.26 per cent in the previous week. However, while the headline inflation rate has been creeping downwards, the index for primary arti-

cles moved up by 1.1 per cent in the same week due to rise in prices of fruits, vegetables and other food articles in the last few weeks. Imagine this, a household will now have to shell out about 35-40 per cent more for groceries, because essential items have shot up, like masur dal from Rs 38.20 last January to Rs 60.30 this year, an increase of 57.85 per cent. It's the same story for pulses, rice, onions, vegetables and sugar.

“ Food prices are still very high. In February, the index for primary articles went up by 7.5 per cent while in March it was up 4.1 per cent. ”

SIDDHARTHA ROY, *Chief Economist, Tata Group*

